and Tata Capital Housing Finance, can also trace its origins to the Strategic Plan. It had in FY 2022 a combined book size of Rs 94,349 crore and a revenue of Rs 5,364 crore.

The other companies started by Ratan during this period were: Tata Telecom, Tata Keltron, Hitech Drilling Services (Pvt.) Ltd (HITDRILL), Tata Honeywell and Plantek. Prominent among these was the drilling services company that was a JV between TIL and Sedco Forex International Drilling Inc, an affiliate of Schlumberger. It was set up to cater to the country's offshore and onshore oil-drilling projects.

Consolidating the Group

One of Ratan's first acts after being appointed as chairman, TIL, was to promote 'group spirit', a key recommendation of his plan. In 1983, he persuaded Tata Sons to divest 25 per cent of the equity of TIL. He then convinced the larger of the Tata companies to subscribe to the equity of the holding company. This led to companies like TISCO, TELCO, Indian Hotels, Tata Chemicals and Voltas becoming shareholders of TIL. The subscribed capital of the industries also increased from Rs 75 lakh to around Rs 6 crore. In the process, he was able to achieve a spirit of ownership of TIL in some of the major group companies and give it some 'teeth', as he termed it.

But the Strategic Plan itself was largely 'ignored by the more powerful chief executives of the individual companies'. It was seen as a threat to their independence. They feared loss of ground, control and influence if they came under the supervision of Bombay House. Ratan made a presentation to the board of Tata Sons and, as he recalls, 'they rejected it'. He also received little support from JRD. 'There was no enthusiasm from the group [for the plan],' recalls Soonawala.

Darbari Seth, the head of Tata Chemicals, Tata Tea and Rallis India, was most vocal in his opposition to the plan. 'The Tata Group is a commonwealth of enterprises, not an empire. … At the core, the system remains very, very sound. There has always been an informal corporate centre, with a lot of interaction and consultations,' wrote a leading magazine in 1988, quoting Seth. His public opposition to the plan even fuelled speculation that it might lead to a split in the group. The magazine